

Article | 3 June 2026

A rate hike and then what? Our ECB preview

With a rate hike looking like a done deal, all focus will be on whether the ECB gives any guidance on what will happen beyond next week's meeting



Christine Lagarde, President of the ECB, which is likely to hike rates next week

Anything but a rate hike at the 11 June ECB meeting would be a big surprise. The ECB is not facing a textbook case of de-anchoring inflation expectations (yet) but rather the expected scenario of increasing actual headline inflation, with higher energy prices showing knock-on effects on other parts of the economy. At the same time, however, actual headline inflation developments are still broadly in line with the ECB's March projections, while core inflation has turned out somewhat higher.

Looking ahead, for inflation in the eurozone, the only way is currently up. Not a sharp up but a rather moderate and gradual lift. While the knock-on effects of higher energy prices on other prices, like transportation and food, will be hard to avoid, the latest survey-based inflation expectations have come down a bit. Selling price expectations in both industry and services, but also the ECB's own longer-term consumer inflation expectations, all dropped slightly in May. Definitely not enough to give an all-clear but surely sufficient to support our view of only a gradual and limited increase in inflation over the coming months.

Reasons for this view are still the absence of substantial fiscal support against higher energy prices (compared with 2022) and much lower saving ratios than in 2022. In short, the pass-through of higher energy and input prices to final consumption will be limited due to a lack of ability and willingness of consumers to actually pay for these higher prices.

Even as some critics argue the ECB risks repeating its 2022 mistake of reacting too late to an obvious inflation shock, the comparison with that period is flawed – not least in terms of fiscal stimulus and savings. Back in 2022, eurozone inflation was already above 4% YoY when the energy price shock hit. The ECB's infamous late reaction came with the first rate hike in July 2022, when headline inflation was actually above 8% YoY. Also, back then, less than 25% of the main inflation components had an inflation rate of less than 1% YoY. In April this year, it was 50%. And last but not least, the first rate hike in 2022 came from a policy rate of -0.5%. Currently, the policy rate is at 2%.

All of this does not mean that the ECB will not hike rates next week. But it is to say that the current macro environment is very different from 2022 and does not call for any aggressive rate hikes. At least not at the current juncture. Against this background, next week's ECB rate hike should be seen as a kind of insurance rate hike. An insurance rate hike as the risk of doing nothing and potentially falling behind the curve is larger than the risk of any adverse effects on growth from higher interest rates.

As long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it's hard to imagine that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn.

What to watch at next week's ECB press conference

As a hike to the deposit rate of 25bp (from 2%) looks like a done deal, all focus will be on whether the ECB gives any guidance on what will happen beyond next week's meeting. In this regard, there are three important things to watch at the press conference.

Fresh round of forecasts

Even though the war in the Middle East has lasted much longer than anyone had anticipated, market variables have not moved in line with the longer duration of the war. Or in other words: oil prices, exchange rates and bond yields are currently trading close to their March levels. Consequently, we don't expect any significant changes to the ECB's new macro projections but see them close to their March levels. If anything, the inflation forecast for this year could be revised somewhat higher; growth could be revised marginally lower. The picture for 2027 and beyond is unlikely to change.

Communication

When the ECB started hiking rates in 2022, it even pre-announced the hike at the meeting before. Back then, it was obvious that the ECB would have to engage in a series of rate hikes. This time is different. We don't expect the ECB to pre-commit to any next steps on 11 June but to rather stress the meeting-by-meeting approach.

This would not only reflect a cautious but reasonable approach, but also the simple fact that views within the ECB will greatly differ. An insurance rate hike has become a no-brainer, but going beyond that could have more severe adverse effects on growth and will not be that straightforward for all ECB members. This is why we expect the ECB to strike a delicate balance between not calling the hike a 'one-and-done' hike while also stopping short of pre-announcing further hikes. Let's call this a gently hawkish tone.



Boris Vujčić was appointed Vice-President of the European Central Bank earlier this year

A new man by Christine's side

And for the real ECB followers, don't be surprised if you spot a new man by Christine Lagarde's side at the press conference. Instead of Luis de Guindos, there will be Boris Vujčić, former Croatian central bank governor and now new ECB vice-president, sitting next to Christine Lagarde. With Vujčić, the ECB will again have a president or vice-president with a PhD in economics for the first time since Mario Draghi left office. However, if Vujčić follows the tradition of all his predecessors, we will not witness a lot of his economic wisdom at press conferences, as the speaking time of vice-presidents at ECB press conferences tends to be shorter than your average radio song.

All in all, next week's ECB meeting promises a lot of action: a rate hike and a lot of speculation about next steps.

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Article | 2 June 2026

FX UNITED KINGDOM UNITED STATES

Webinar: War, oil, and stagflation – The central bank stress test

Join ING's economists and strategists for a live webinar on 8 June to discuss the widespread fallout of the Iran war and the difficult choices ahead for global central banks. Sign up [here](#)



If central banks were hoping for clarity on the Middle East by their June decisions, they're likely to be left bitterly disappointed. Energy prices are down but the Strait of Hormuz remains far from open. Inflation is climbing and with every passing day, supply chains become ever more disrupted. Yet economies, particularly in Europe, are starting to show the strain. The case for rate hikes is far from clear-cut.

[Join ING's economists and strategists](#) for a live 45 minute discussion of the forthcoming central bank decisions. You'll learn:

- Why an ECB rate rise looks like a done deal in June – and why this could be a one-off
- The outlook for growth and inflation across the US and Europe
- Whether the Fed could really hike rates this year – and why officials are turning more hawkish
- Why the Bank of England is proving more reluctant to hike rates than the ECB and why a hike is far from guaranteed
- Where EUR/USD could trade over the summer in different oil price scenarios

Details

THINK economic and financial analysis

Date: Monday 8 June

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 45 minutes, including Q&A

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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Article | 1 June 2026

COMMODITIES, FOOD & AGRI

Risks to agri markets look underpriced as Hormuz crisis drags on

Despite talks to reopen the Strait of Hormuz, concerns over fertiliser prices and availability continue to rise, and in our view, agri-commodity markets have not fully priced in these risks. While the impact is likely to be uneven and less severe in Europe, disruption could still build over time, requiring companies to manage supply risks proactively



Strait of Hormuz closure continues to feed fertiliser concerns

The impact of the conflict in the Middle East on fertiliser and agri markets is probably best described as a tragedy unfolding in slow motion. [A major part of global fertiliser and fertiliser feedstock](#) remains exposed. While an extension of the ceasefire [could see a resumption in flows](#), the outlook is likely to remain fragile as a more permanent deal could be challenging to secure.

The global risks were highlighted again recently, with the Food and Agriculture Organization warning of [‘the beginning of a systemic agrifood shock that could trigger a severe global food price crisis’](#). The UN Agency is specifically concerned about countries in Africa and parts of Asia. In our view, the situation is less severe for Europe, although it is clear that risks persist for European companies over the next 12 months. While current market conditions suggest

limited risk of an immediate price spike, underlying pressures may still build over time if supply constraints persist.

Both farmers and policymakers react to fertiliser shock

The key concern is that higher fertiliser prices will reduce usage, which could weigh on crop yields and tighten agricultural supply over time.

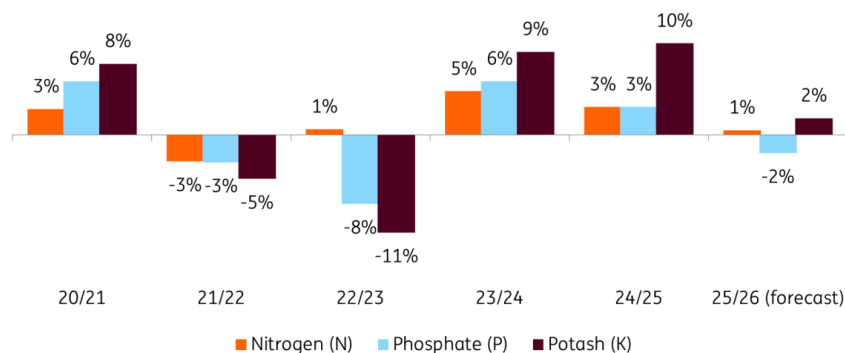
Compared to 2022, fertiliser affordability (the ratio between fertiliser and crop prices) has deteriorated sharply, creating a stronger incentive for farmers to reduce application rates. As a result, the International Fertilizer Association expects usage to decline in the 2026/27 season.

The impact is unlikely to be uniform, however, as farmers use different types of fertiliser to support yields, reproduction and resilience. Previous shocks show that demand for nitrogen-based fertiliser tends to be more inelastic than potash and phosphate.

Also, farmers in developing countries are generally more sensitive to prices, while farmers in developed economies (including the EU) tend to have more options to mitigate the risks.

Use of nitrogen-based fertilisers is more stable compared to phosphate and potash

Annual change in use



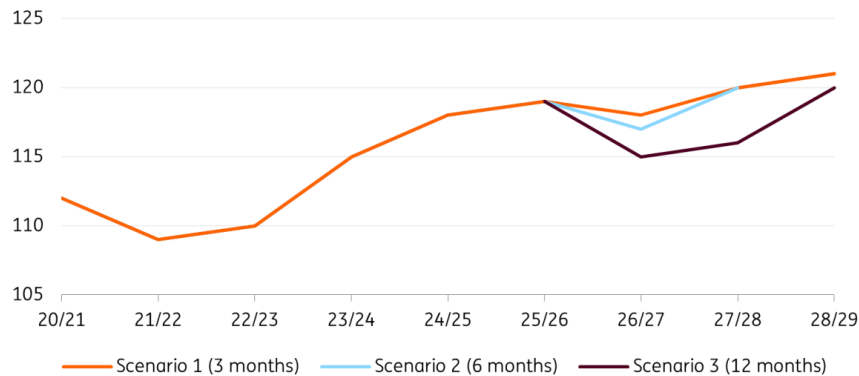
Source: IFA, ING Research

The disruption to fertiliser markets is exacerbated by the implementation of export quotas and restrictions by other major exporters, including Russia and China. That further exposes vulnerabilities in key importing regions like Australia, Brazil, India and the EU. On the other hand, governments in these countries and regions are stepping up their actions to secure supplies for domestic farmers or alleviate part of the cost pressure. The Australian government, which is usually quite market-orientated, has already intervened to secure nitrogen and urea shipments. Meanwhile, the EU recently published its [Fertiliser Action Plan](#),

which included commitments to support the most affected farmers.

IFA expects 1-2% decline in global Nitrogen-based fertiliser if Iran war lasts 3-6 months

Global use of nitrogen-based fertilisers in three scenarios, in million tonnes



Source: IFA, ING Research

Commodity market fundamentals favourable, for now

For commodity markets, the current geopolitical conditions are clearly negative. However, fundamentals such as supply, demand, stocks and broader economic factors remain more favourable, according to the International Food Policy Research Institute ([IFPRI](#)). This helps to limit the likelihood of immediate price spikes compared with previous shocks in 2007, 2010 and 2020.

A number of agri commodities heading into the 2026/27 marketing year are well supplied following strong output in 2025/26 amid record yields. This has left inventories at comfortable levels, helping to ease supply concerns.

The expectation for 2026/27 has been that while markets are expected to tighten (with yields falling back from record levels), they are likely to remain comfortable, suggesting only moderate strength in prices this year.

- Admittedly, US wheat prices have seen more significant strength due to the terrible condition of the domestic winter wheat crop. However, the global wheat market is expected to remain largely comfortable this season, suggesting that the market should see a pullback.
- Our expectation is that the corn market will trade in a largely \$4.50-5/bu range through the latter half of the year, with a reduction in area, leading to a year-on-year decline in output, and as a result, tighter global stocks YoY.
- As for soybeans, the increase in area this year and higher output mean that global

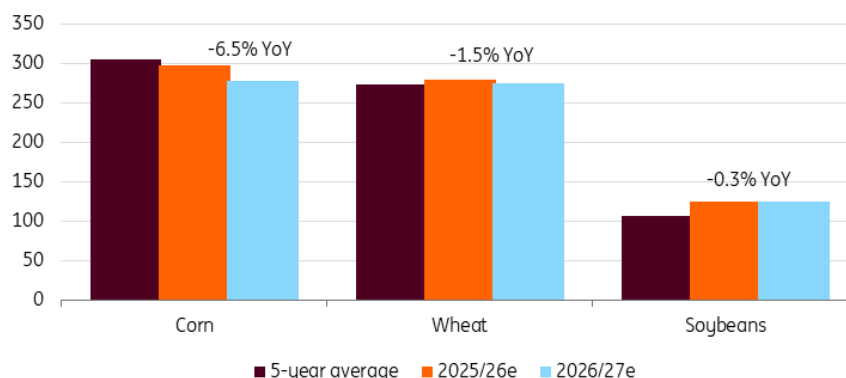
stocks are expected to remain broadly unchanged YoY, suggesting that prices may come under some relative pressure over the latter part of the year. We see soybean prices trading in a largely US\$11-12/bu range.

Up until now, forecasts have not taken into consideration the potential impact of more persistent fertiliser shortages. Our forecasts have seen marginal changes since the start of the year. This is partly due to uncertainty over the duration of supply disruptions from the Persian Gulf. Also, while there is a broad relationship between fertiliser consumption and agricultural yields, it is not guaranteed that lower fertiliser usage will hit yields directly. Other variables, such as weather, are also important here.

Essentially, the impact of developments in the Middle East is more indirect and therefore more difficult to gauge in terms of its effect on agricultural prices. This contrasts with 2022, when there was a clear direct impact on agri market supply following Russia's invasion of Ukraine.

Global corn ending stocks to edge lower in 2026/27, while little change expected for wheat and soybeans

in million tonnes



Source: USDA, ING Research

Market attention shifts towards Southern Hemisphere

The impact of potential shortages varies across regions. Southern Hemisphere farmers are more vulnerable than those in the Northern Hemisphere. In the Northern Hemisphere, the impact is likely to be more limited, as farmers have already planted their spring crops and pre-booked inputs for the season. As a result, we do not expect any significant changes in crop areas or yields for most of these producers.

The bigger risk is for Southern Hemisphere producers and their winter crops, which are currently being planted. Risks will grow for spring crops (September to December plantings) if

fertiliser disruptions persist into the third and fourth quarters of this year. This is particularly the case for key growing regions like South America, which are heavily dependent on fertiliser imports. Brazil, for example, imports in the region of 85% of its fertiliser needs. Obviously, the immediate impact is farmers facing rising prices and tighter margins, but a prolonged disruption could also feed through to physical shortages of fertiliser for Brazilian farmers. Shortages not only pose a risk to yields, but farmers in agri powerhouse Brazil could also decide to shift area from corn to soybeans, given the latter has a lower fertiliser intensity. This would lead to a further tightening in the global corn market, a market which was already set to tighten this year, with farmers in the US increasing soybean plantings at the expense of corn due to pricing dynamics. Given the importance of these crops as input for animal feed, this is something that the feed and animal protein sectors will monitor closely.

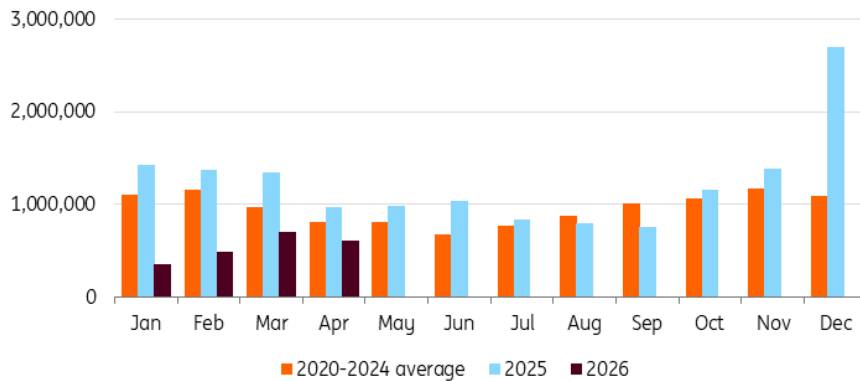
The concern for agri markets is that they are facing this uncertainty at a time when it is looking increasingly likely that we will see an El-Nino weather event this year. The National Oceanic and Atmospheric Administration [is forecasting](#) an 82% chance of El-Nino conditions emerging in May-June 2026 and a 96% chance that these conditions will continue through the 2026/27 Northern Hemisphere winter. El Niño can bring challenging weather conditions for some regions, including drier weather across large parts of Asia. In the 2023/24 season, which was an El Niño period, we saw agricultural yields in Brazil negatively impacted. This poses another layer of upside risk to agri prices this year.

What about the fertiliser situation in Europe?

The EU imports 25%-30% of the nitrogen fertiliser it needs, 35-45% of potash and around 70% of phosphate. There are no immediate concerns around fertiliser availability. Suppliers of nitrogen fertiliser had ample stocks available at the start of 2026 in anticipation of the introduction of higher levies on imported carbon intensive goods (CBAM). Since January, imports have dropped, meaning that companies have been drawing down inventories. In terms of domestic production, recent market data shows that production of nitrogen fertiliser has been relatively stable since the start of the Iran war. European producers have seen gas prices increase but selling prices of fertiliser products have also improved, meaning margins remain positive. Meanwhile, imports of phosphate have remained relatively stable.

EU started 2026 well supplied as nitrogen-based fertiliser imports spiked ahead of new carbon related levy

Imports of ammonia and nitrogen-based fertilizer in tonnes



Source: European Commission, ING Research

The impact on EU crop farmers – several factors soften the blow

For crop farmers, fertiliser is a key input. In the EU, it typically accounts for about 15 to 20% of total production costs. Fertiliser prices have been highly volatile in recent years because the market is very exposed to geopolitical developments. In response, many farmers tend to lock in prices ahead of the season, either individually or through groups such as cooperatives, meaning that the fertiliser that's being used on the fields today was often bought at pre-war prices.

For now, this is helping to cushion the blow, but the longer fertiliser prices remain elevated, the more farmers will be exposed to higher market prices. Meanwhile, higher fuel costs, which account for roughly 5% of total production costs, are passed through more quickly, adding to both actual and expected cost pressures. Any increase in agricultural commodity prices would help to reduce pressure on farmers' margins. While the situation will vary across producers, the roughly 10% increase in EU wheat prices since the onset of the war suggests that margin pressures may be less severe than initially feared, as higher output prices are helping to offset rising input costs.

Key risks and how to deal with them

The key supply chain risks for food & agribusinesses linked to the current energy and fertiliser shock are more skewed towards the second half of 2026 and first half of 2027.

1. **Financial stress and consolidation.** Greater financial pressure on farmers reduces their

ability to invest in equipment and makes them more price-conscious when buying farm inputs. Over the medium to long term, the ongoing pressure on profitability along with an ageing farmer population act as drivers for consolidation in the farming sector.

2. **Tighter supply and higher input costs.** Companies sourcing from farmers are likely to face growing pressure to pay higher prices for agricultural products as input costs rise. There is a clear risk that prices of agricultural inputs will exceed initial projections, particularly if a strong El Niño reduces yields and triggers a supply shock.
3. **Rising working capital requirements.** Higher prices would increase working capital needs for businesses. This is not an immediate risk, but one that companies could start to prepare for over coming quarters.
4. **Greater market volatility.** Increased volatility in markets leaves agribusinesses facing a more challenging environment. Firms can address this by creating more certainty through hedging their exposure. This could include inputs (fuel and fertiliser) as well as outputs and could be in the form of hedging in derivative markets or through securing longer-term supply/offtake agreements.
5. **Policy and export restriction risk.** Restrictions on exports of key food commodities become more likely if lower fertiliser application rates tighten domestic food supplies towards the end of the year. This could prompt governments to protect domestic supply and contain inflation. To mitigate risks, procurement teams could review supply chains for over-reliance on staple crops from specific countries. Imports from India, for example, carry higher risk given its history of protectionist measures.

Export restrictions are still mainly focused on energy and fertilisers not on food

Sector	Number of policy actions
Energy	131
Fertilizers	39
Food	14

Source: FAO, ING Research

Taken together, while current market conditions remain supportive and limit the likelihood of a 2022-style price spike, fertiliser-related risks are likely underappreciated given their delayed and difficult-to-quantify impact. Rather than an immediate shock, the pressure is more likely to build gradually, feeding through higher input costs, lower

application rates and, ultimately, tighter supply.

For food and agribusinesses, this points to a more uncertain outlook beyond the near term, with risks increasingly concentrated in late 2026 and into 2027 as supply constraints, volatility and policy responses begin to materialise.

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Article | 29 May 2026

FX

USD/JPY: Largest quarterly intervention since 2004

The Japanese Ministry of Finance has today released FX intervention figures for the period of 28 April to 27 May. It confirms that the Bank of Japan sold JPY11.735tr (around \$74bn). This will mark the largest quarterly FX intervention since 2004. It's an impressive figure, but unless oil or US rates turn dramatically lower, USD/JPY will stay bid



Sizable intervention

Figures released by Japan's MoF earlier today confirm that the BoJ undertook JPY11.735tr of FX intervention in the 28 April to 27 May window. That intervention likely started on 30 April, driving USD/JPY from above 160 to below 156 and was followed up potentially over the next four trading sessions.

The size confirmed today is large. In fact, looking at the quarterly intervention figures, one has to go back to 2004 to see any activity as large in a single quarter.

Back in early 2004, the BoJ was intervening almost daily in an effort to keep USD/JPY above 100 at a time of a prevailing dollar bear trend – this after the Federal Reserve had cut its policy rate to 1.00% after the dot-com bubble burst.

Since then, FX intervention has been more modest and less frequent.

In fact, there is some speculation that Japanese policymakers feel constrained by the IMF's FX regime classification system. More frequent intervention – beyond three 'instances' in a six-month period – could see Japan's FX regime re-classified as 'floating' instead of 'free floating' – which would be more in line with regimes in Brazil and Chile than Japan's G7 peers.

BoJ FX intervention versus USD/JPY



Source: Japanese Ministry of Finance, ING

Policymakers will struggle to turn the tide

With USD/JPY already trading back near 160, it is hard to make the case that this year's Japanese FX intervention has been effective. Back in 2024, FX intervention was a success because the speculative market was heavily short yen and US rates were turning lower ahead of a Fed easing cycle starting that September.

Today, the speculative market is far less short yen and if anything, the Fed could be swinging behind a hike for its next move rather than a cut. Our call is that the BoJ will likely be called into action again over coming months as USD/JPY pushes through 160 again. This also has implications for US Treasuries, as Japanese authorities appear to sell Treasuries to finance FX intervention. Japanese holdings of US Treasuries fell around \$100bn in 2024 – roughly consistent with FX intervention amounts that year. Remember as well that FX selling operations are finite and limited by the size of FX reserves. Japan has large reserves at over USD1tr, but will not want to lose 20-30% of them.

Unless the BoJ can somehow get 'ahead of the curve' and drive real interest rates higher, it is hard to see the USD/JPY situation changing over coming months. [ING is looking for a BoJ rate hike](#) on 16 June (now priced with a 78% probability), but the BoJ will have to deliver a very

hawkish hike to reverse the recent shift in real interest rate differentials against the yen. That would somehow require the BoJ to manage expectations of a policy rate (now 0.75%) heading above 1.50% next year – which might be difficult in the current political environment.

Until then, we expect USD/JPY to stay bid near 160 over coming months and possibly push into the 162/163 area. Our call for 155 by year-end very much relies on US consumption stalling and the Fed reconsidering rate cuts. That is increasingly looking like a story for later in the year and the near term focus will be on the growing Fed hawkishness.

Real interest rates keep USD/JPY supported



Source: ING calculations

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Article | 3 June 2026

RATES SPARK

Rates Spark: Spread exposures

Geopolitics, via oil-driven volatility and hawkish central bank repricing, have left eurozone bond spreads wider, with Italy hardest hit. Retreating oil prices alone might not be enough to alleviate the pressure if the ECB begins to worry more about second-round effects



Geopolitics have left eurozone bond spreads wider and falling oil prices may no longer ease the pressure

Geopolitics continue to drive volatility and as conflicting signals dampen hopes for a quick solution to the conflict, oil prices have drifted higher, closer to the US\$100/bbl threshold again.

The resulting market volatility and more aggressive central bank pricing also feeds into bond spreads. In eurozone government bond spreads, Italian spreads have suffered the most. The 10y spread over German Bunds had peaked towards 95bp by the end of March before easing lower to now stand at just above 70bp, still more than 10bp above levels observed just before the turmoil. Less impacted have been French spreads, but they also sit around 6bp wider compared to before the crisis.

If we model the countries' 10y OIS spreads since the end of January by just taking oil prices as input, we can already explain 83% of the Italian spread dynamic. Oil alone also explains close

to 70% of French spread dynamics, but only about 23% of Spain's. That, of course, is reflective of how much these economies are exposed to higher energy prices. Italy is reliant on gas imports, especially from the conflict region, while France is regarded as shielded to some extent by its higher nuclear energy share.

We also see consensus 2026 GDP forecasts for Italy having been revised lower by around 0.3% to now 0.5% since the start of the crisis. We see a revision of similar magnitude for France, though, by 0.3% to 0.7%, whereas Spain has seen only a marginal downward revision to still stand at around expected 2.2% growth for this year. Deficit revisions since the crisis hit have been smaller, also given that fiscal responses overall have been quite limited in scale so far, with overall debt levels already strained in many cases.

Our view is that downward potential for oil prices, even in a more benign outcome, remains limited in the near term, with average prices still around US\$90/bbl by the end of the year. Alongside some normalisation in central bank pricing, that would give Italian spreads some 7bp of tightening potential and France a bit more than 2bp. It wouldn't change the picture for Spain in the simple model. Here we would expect any tightening to come via the lower market volatilities and improving risk sentiment in general.

However, oil and central bank pricing have for now shared a very similar dynamic, linked by inflation. If the crisis drags on, dynamics could still drift apart when the ECB increasingly contemplates second-round effects, even without energy prices necessarily rising much further. That could leave the likes of Italy still more exposed, not just in an escalation scenario.

Thursday's events and market view

From the eurozone we'll get retail sales numbers from April, for which consensus sees the growth decelerating from 1.2% to 0.3% year-on-year. More interesting could be the US Challenger jobs numbers and jobless claims. Any signs of weakness in the jobs markets could have markets preposition for the all-important US non-farm payrolls number on Friday. The European Central Bank's quiet period will also start in anticipation of next week's (11 June) monetary policy meeting.

For supply, Spain will auction 3y, 5y, 15y SPGBs, and a 14y SPGBi for a total of €6.25bn. France will auction new 10y, 12y, 16y and 31y OATs for a total of €14bn.

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Article | 3 June 2026

POLAND

National Bank of Poland's governor says the current level of interest rates is adequate

The current level of interest rates is sufficiently high to stabilise inflation, and the risk of rate hikes has declined, according to National Bank of Poland Governor Adam Glapinski. A holding pattern is now the most likely scenario. Our baseline scenario continues to assume no changes to interest rates at least until the end of 2026



Poland's central bank governor Adam Glapinski

Background to June policy decision

Commenting on the factors behind the Monetary Policy Council's decision, central bank governor Adam Glapinski noted that inflation declined to 3.1% year-on-year in May and remains within the range of acceptable deviations from the target. Inflation is being pushed up by higher fuel prices, reflecting the rise in oil prices in response to the conflict in the Middle East. At the same time, the NBP governor noted that in recent weeks, expectations of a peace agreement have strengthened, and oil prices have eased somewhat.

Glapinski reiterated that the increase in oil prices constitutes a strong supply-side shock to the

economy and its scale depends on external factors, beyond the influence of monetary policy. On the one hand, it boosts inflation both directly (through higher fuel prices) and indirectly (via rising business costs). On the other hand, it dampens real income growth, increases uncertainty and weakens economic activity.

Economic conditions

Commenting on domestic economic conditions, the NBP governor noted that despite solid growth in 1Q26 (3.5% YoY), which was clearly stronger than in the euro area, the economy slowed compared to 4Q25, when it expanded by 4.1% YoY. Moreover, full-year GDP growth in 2026 is likely to be lower than expected a few months ago and slower compared to last year.

Inflation and monetary policy outlook

According to the NBP, the inflationary impact of the Middle East conflict is smaller than previously feared and clearly weaker than during the 2021–22 energy crisis. Labour market conditions are less tight, and the rise in oil prices is not accompanied by significant supply chain disruptions (except for fuel). Additionally, interest rates are higher than at the onset of the previous energy shock and are positive in real terms. At the same time, the PLN exchange rate remains stable.

Glapiński also highlighted that wage growth continues to slow, which is favourable from an inflation perspective. In 1Q26, wage growth in the economy moderated again, while wage growth in the corporate sector in April was the lowest in five years.

In the central bank's assessment, inflation should remain moderate, and Poland's inflation situation is relatively favourable compared to other countries and better than previously feared. In the governor's view, the May inflation reading – significantly below expectations – has reduced the risk of rate hikes. A discussion on interest rate hikes could emerge only if fuel prices were to rise persistently and the government were to withdraw measures aimed at stabilising them.

Summary

Glapiński's diagnosis of the Polish economy can be summarised as:

1. "Slightly elevated inflation",
2. "A modest weakening of economic growth"
3. "Decelerating wage growth"

The NBP governor emphasised that real interest rates are positive and at an appropriate level to stabilise inflation. In his view, there is currently no reason to change interest rates. Steady policy remains the most likely outcome, and future MPC decisions will depend on incoming

data.

The NBP communication is consistent with our baseline scenario, which assumes that interest rates would remain unchanged at least until the end of 2026.

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3 June 2026

Credit Strategy

Supply for May (US\$bn)

	Corporates	Financials
May	89	79

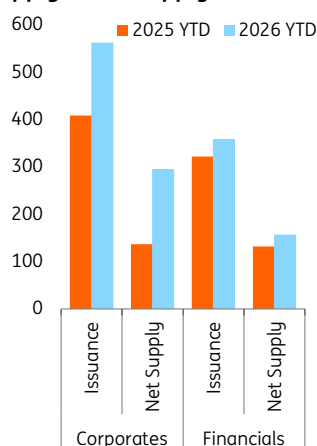
Source: ING, Dealogic

Supply FY and YTD (US\$bn)

Corporates	FY	YTD
2020	1168	696
2021	730	365
2022	565	297
2023	650	404
2024	813	423
2025	926	408
2026	563	563
Financials	FY	YTD
2020	530	298
2021	642	285
2022	629	358
2023	549	218
2024	704	353
2025	749	390
2026	453	453

Source: ING, IGM, Dealogic

Supply & Net Supply YTD



Source: ING, IGM, Dealogic

US Dollar Credit Supply

Supply continues at a strong pace



Strong supply in USD and EUR for US corporates

- Strong supply of US\$89bn seen in May, an increase on the norm from previous years. YTD supply now sits at US\$563bn for corporates, running largely ahead of most previous years, except for 2020 when we had the large Covid supply influx.
- USD credit has been outperforming over the past few weeks, tightening down to very expensive levels and approaching the tights from the beginning of the year. As such, the USD EUR spread differential has come down leading to a slightly less cost-saving advantage in doing a Reverse Yankee deal. However, this is of course very name dependent.
- Following multiple multi-tranche deals, the corporate Reverse Yankee supply figure has risen to €64bn YTD, running largely ahead of all previous years. We forecast a record-breaking €120bn for corporate reverse Yankee supply in 2026, as there is still a lot of financing to be done and if USD underperforms against EUR we will see the cost-saving advantage offer opportunities, not to mention the rush of US tech issuers coming to the EUR market.

Slowdown in bank bond issuances in May

- Banks issued US\$63bn in bonds over May, which is US\$25bn behind what we recorded in April. The bulk of last month's USD denominated supply remains in the senior non-preferred segment making up 63% of the new issues.
- While still limited, we note a significant increase in senior preferred issuances with over US\$11bn printed in May. Subordinated bond supply also reached US\$11bn, in line with the April level. However, when it comes to covered bonds, issuances dropped below US\$1bn. That contrasts with both April and March when the segment reached over US\$4bn on the backdrop of the Iran war uncertainty, leading issuers to prefer the less volatile part of the liability structure.
- Outside from US issuers, UK names have issued US\$33bn since the start of the year, followed by Japanese and Canadian banks with nearly US\$29bn and US\$28bn, respectively. Despite the slowdown in total issuances this month, we note renewed interest in sustainable instruments. Indeed, issuers printed nearly US\$1.5bn in green bonds over May and another US\$0.5bn in sustainable bonds. The USD denominated sustainable bonds supply doubled YoY to reach over US\$7bn in 2026 YTD.
- We expect issuances to remain high next month and, aside from a resurgence of tensions in the Middle East, issuers to keep their focus on the senior unsecured segment ahead of the summer.

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Fig 1 USD corporate supply overview (US\$bn)

	2022	2023	2024	2025	2025 May	2026 Apr	2026 May	2025 YTD	2026 YTD	% diff
Auto	29	41	59	47	7	1	4	33	20	-41%
Consumer	63	95	84	105	7	7	10	71	36	-50%
Healthcare	72	114	131	104	4	4	22	34	81	140%
Industrial & Chemicals	89	91	115	101	11	6	8	52	60	16%
Real Estate	26	32	41	44	6	3	1	15	15	0%
TMT	137	92	125	244	22	54	14	84	219	162%
Utility	100	129	148	160	13	10	21	78	84	8%
Oil & Gas	21	34	72	58	3	3	7	23	27	18%
Others	28	22	39	64	1	8	3	18	21	12%

Source: ING, Dealogic

Note: USD supply numbers include just IG corporates from America and Europe.

Fig 2 USD financial supply overview (US\$bn)

	2022	2023	2024	2025	2025 May	2026 Apr	2026 May	2025 YTD	2026 YTD	% diff
Banks	514	452	511	542	64	87	63	308	372	21%
of which SNP	395	326	343	352	48	69	40	221	255	15%
of which SP	35	58	72	75	11	1	11	34	48	40%
of which Capital	56	50	91	101	3	13	11	43	59	36%
of which Covered	28	18	5	13	2	4	1	9	9	1%
Finance	67	56	120	134	9	11	7	52	52	0%
Insurance	48	38	73	70	9	6	9	31	30	-2%

Source: ING, IGM, Dealogic

Fig 3 USD corporate supply and net supply by month (US\$bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	34.1	45.8	125.7	45.0	44.8	35.2	25.0	51.7	44.9	41.2	65.4	6.0	564.9
2023	47.9	129.0	68.1	31.7	124.3	33.6	28.4	35.7	49.5	27.3	62.6	11.5	649.7
2024	73.5	138.9	82.0	51.4	77.7	58.3	51.1	91.7	88.7	40.6	40.2	19.0	813.1
2025	57.1	97.6	131.8	47.0	74.7	57.4	28.5	77.2	122.2	102.3	108.1	22.6	926.5
2026	56.2	144.4	178.7	94.3	89.1								562.8
Net Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	2.8	5.3	69.3	19.1	-8.7	-15.4	-3.2	2.9	4.2	6.4	19.3	-22.9	79.1
2023	9.8	82.0	1.0	-19.9	66.4	-20.5	0.4	1.6	-5.9	3.6	21.1	-15.8	123.7
2024	45.1	94.1	18.9	12.3	34.6	15.7	24.3	51.1	50.3	9.0	-4.7	-6.2	344.5
2025	33.0	63.2	61.1	-12.5	-7.9	-0.8	-7.3	44.6	84.7	61.2	58.8	0.1	378.1
Redemptions	39.3	73.2	74.7	40.9	39.3	46.5	30.0	44.0	42.9	28.3	39.8	27.1	525.9
2026	16.8	71.2	104.0	53.5	49.8								295.4

Redemptions shown for 2026 only

Source: ING, Dealogic

Fig 4 USD financial supply and net supply by month (US\$bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	104.0	41.1	101.5	59.4	51.9	31.9	63.1	53.4	29.8	46.2	40.7	6.7	629.4
2023	86.0	35.4	28.3	36.3	32.2	58.4	56.7	30.6	74.1	49.1	47.8	10.9	545.7
2024	107.0	63.7	63.4	54.8	64.8	43.0	82.6	18.0	72.8	62.9	59.2	11.7	703.7
2025	139.9	61.6	48.2	57.9	83.0	49.6	55.8	33.9	78.2	91.6	30.9	18.3	748.9
2026	150.9	57.4	62.0	103.8	79.3								453.3
Net Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	23.5	26.6	63.9	19.8	26.6	-9.7	27.1	30.3	-15.4	6.9	19.1	-58.0	160.7
2023	54.6	21.4	-0.6	23.8	7.0	31.9	35.9	21.7	44.5	34.0	37.9	-9.3	302.7
2024	62.2	42.4	14.4	18.4	32.0	13.2	56.0	-1.9	30.1	22.4	28.6	-8.0	309.7
2025	81.9	16.3	10.2	-0.7	53.0	0.9	8.2	1.5	29.2	69.6	7.7	-4.3	273.4
Redemptions	88.2	15.2	44.2	44.4	29.4	50.3	35.8	29.4	49.8	51.1	28.0	60.3	525.9
2026	62.8	42.2	17.8	59.3	49.9								232.0

Redemptions shown for 2026 only

Source: ING, IGM, Dealogic

Fig 5 Corporate supply and redemptions by month, 2026 (US\$bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Auto	5.7	0.0	9.2	1.4	3.5								19.8
Consumer	0.2	10.2	8.8	6.9	9.5								35.6
Healthcare	0.0	40.8	15.5	3.5	21.5								81.3
Industrial	7.4	7.6	31.6	5.9	8.0								60.4
Real Estate	1.4	7.2	2.4	2.9	1.2								15.1
TMT	23.0	49.4	78.5	53.9	14.1								218.8
Utility	11.6	23.4	18.1	9.5	21.3								83.9
Oil & Gas	7.0	1.5	9.3	2.8	6.8								27.3
Others	0.0	4.4	5.5	7.6	3.3								20.7
Redemptions	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Auto	5.4	0.0	6.1	4.8	0.4	1.3	2.0	5.0	1.4	0.8	4.6	2.8	34.3
Consumer	6.3	23.9	6.4	7.3	1.0	10.2	7.6	5.1	7.1	5.1	8.2	1.7	89.8
Healthcare	1.5	5.8	13.3	1.2	8.9	7.5	1.7	3.2	3.1	0.9	10.5	3.8	61.2
Industrial	7.4	12.2	8.5	8.6	7.4	6.5	1.2	3.9	6.9	3.4	7.9	4.0	78.0
Real Estate	3.1	4.1	1.3	3.1	2.1	2.3	3.2	2.4	2.5	5.4	3.1	1.6	34.1
TMT	1.4	20.6	22.6	7.3	9.2	10.5	5.8	16.8	11.5	7.4	2.1	2.7	117.8
Utility	8.2	1.9	4.8	3.4	3.4	4.3	4.8	4.7	5.6	2.9	1.2	5.9	51.1
Oil & Gas	3.1	2.7	9.7	2.5	5.3	0.1	1.5	2.0	2.8	1.0	1.8	3.5	36.1
Others	3.0	2.1	2.0	2.8	1.8	3.8	2.2	0.9	1.9	1.6	0.5	1.1	23.7

Source: ING, Dealogic

Fig 6 Financial supply and redemptions by month, 2026 (US\$bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Banks	133.7	40.4	46.9	87.25	63.35								371.6
of which SNP	91.4	30.8	23.4	69.3	40.35								255.2
of which SP	19.9	2.5	13.3	1.2	11.2								48.1
of which Capital	22.5	7.1	5.5	12.75	11.1								58.9
of which Covered	0.0	0.0	4.8	4	0.7								9.5
Finance	8.1	13.8	11.9	10.9	7.1								51.8
Insurance	9.1	3.2	3.2	5.6	8.8								29.9
Redemptions	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Banks	72.7	8.8	31.8	33.4	16.6	37.3	28.0	18.5	40.2	40.0	17.8	54.1	399.0
of which SNP	67.2	8.2	23.9	30.7	10.1	29.3	21.9	17.0	30.7	30.6	12.8	47.0	329.2
of which SP	4.0	0.0	0.8	0.0	0.0	1.6	2.7	0.5	0.8	1.8	1.0	0.0	13.1
of which Capital	1.5	0.0	6.8	2.8	6.2	2.5	1.5	1.0	3.5	3.4	2.5	4.5	36.0
of which Covered	0.0	0.6	0.4	0.0	0.3	4.0	2.0	0.0	5.3	4.3	1.5	2.6	20.9
Finance	11.1	5.9	8.7	3.5	9.9	8.1	5.1	7.6	6.0	9.5	7.0	2.5	85.0
Insurance	4.4	0.5	3.7	7.5	2.8	4.9	2.7	3.1	3.2	1.6	3.2	3.7	41.0

Source: ING, IGM, Dealogic

Fig 7 USD supply, redemptions and net supply by year (US\$bn)

Corporates	YTD	FY	Reds	Net	Financials	YTD	FY	Reds	Net
2015	339.2	709.3	256.5	452.7	2015	220.6	422.3	246.5	175.8
2016	357.4	697.5	293.4	404.0	2016	208.9	395.7	237.2	158.5
2017	347.4	743.8	355.7	388.1	2017	232.1	425.2	267.3	157.9
2018	286.2	651.5	382.7	268.8	2018	233.4	437.2	283.4	153.8
2019	305.2	700.8	429.9	270.9	2019	182.5	364.3	263.2	101.1
2020	696.2	1168.4	453.3	715.1	2020	297.8	530.2	306.6	223.6
2021	365.2	729.9	478.7	251.2	2021	285.2	642.4	337.3	305.1
2022	297.4	564.9	485.8	79.1	2022	357.8	629.4	468.8	160.7
2023	403.9	649.7	526.0	123.7	2023	218.2	545.7	243.0	302.7
2024	423.4	813.1	468.5	344.5	2024	353.6	703.7	394.0	309.7
2025	408.2	926.5	548.3	378.1	2025	390.6	748.9	475.5	273.4
2026	562.8	562.8	525.9		2026	453.3	453.3	525.1	
2027			554.3		2027			396.2	
2028			603.0		2028			432.5	

Source: ING, IGM, Dealogic

Fig 8 Subordinated supply. 2026 and 2025 (US\$bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
AT1	8.6	4.6	5.5	8.0	7.1								33.7
T2	13.9	2.5	0.0	4.8	4.0								25.2
Bank Capital	22.5	7.1	5.5	12.8	11.1								58.9
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
AT1	9.6	11.3	0.5	3.7	2.7	3.5	10.3	1.1	9.7	2.3	3.5	4.1	62.0
T2	6.7	4.0	3.7	0.8	0.5	5.5	4.8	4.3	4.8	1.5	1.8	1.4	39.8
Bank Capital	16.3	15.3	4.2	4.5	3.2	9.0	15.1	5.4	14.5	3.8	5.3	5.5	101.8

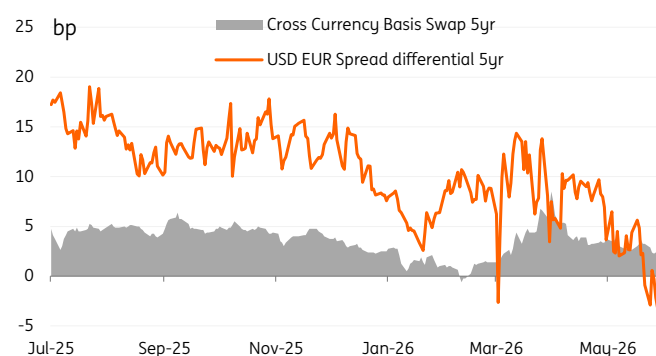
Source: ING, IGM, Dealogic

Fig 9 Reverse Yankee supply. 2026 and 2025 (\$bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Corporate	4.2	12.1	24.2	4.7	18.5								63.6
Financial	5.1	11.4	0.3	1.4	1.3								19.5
Total	9.2	23.5	24.5	6.1	19.8								83.0
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Corporate	2.5	16.2	3.4	10.2	11.2	6.7	5.4	0.6	7.5	1.4	25.6	1.8	92.2
Financial	8.6	1.4	5.1	10.7	2.9	3.6	4.8	1.5	1.8	6.1	13.0	2.8	62.1
Total	11.1	17.6	8.5	20.8	14.1	10.3	10.2	2.1	9.3	7.5	38.6	4.5	154.3

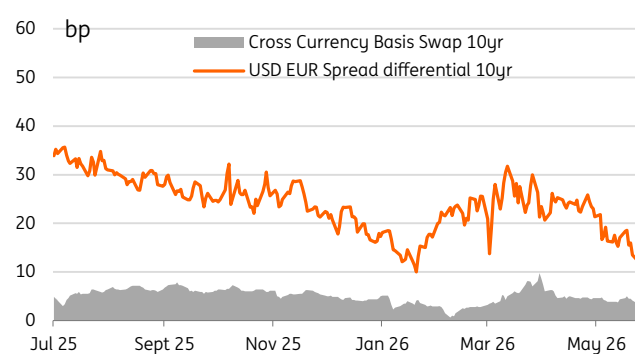
Source: ING, Dealogic

Fig 10 XCCY 5yr



Source: ING, IHS Markit, Refinitiv

Fig 11 XCCY 10yr



Source: ING, IHS Markit, Refinitiv

Fig 12 US. Yankee and Reverse Yankee supply (US\$bn)

Corporates	Domestic	Yankee	Rev Yankee (\$)	Financials	Domestic	Yankee	Rev Yankee (\$)
2015	610.3	108.5	62.6	2015	302.8	127.1	28.9
2016	589.1	113.9	65.8	2016	282.5	114.0	45.6
2017	654.9	102.0	65.7	2017	313.3	111.9	35.6
2018	523.8	130.6	31.7	2018	306.7	131.7	18.1
2019	610.1	95.4	98.3	2019	269.7	95.8	28.8
2020	1031.2	152.3	68.9	2020	406.9	125.3	25.3
2021	628.3	107.1	63.8	2021	363.9	278.4	41.5
2022	486.3	89.9	34.0	2022	342.0	287.5	29.8
2023	559.8	104.6	44.0	2023	267.8	278.0	13.1
2024	688.6	143.3	65.3	2024	253.4	109.5	27.0
2025	794.7	145.8	92.2	2025	282.4	118.7	62.1
2026	499.8	74.9	63.6	2026	241.7	210.5	19.5

Source: ING, IGM

Fig 13 ESG supply per month 2026 (US\$bn)

Corporate	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	0.5	1.0	0.0	4.6	0.5								6.6
Social	0.0	0.0	0.0	0.0	0.0								0.0
Sustainable	0.0	0.0	0.0	0.0	0.0								0.0
ESG	0.5	1.0	0.0	4.6	0.5								6.6
Financial	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	1.0	0.0	0.8	0.5	1.5								3.8
Social	1.0	0.5	0.0	0.0	0.0								1.5
Sustainable	1.6	0.0	0.0	0.0	0.5								2.1
ESG	3.6	0.5	0.8	0.5	2.0								7.4

Source: ING, IGM, Dealogic

Fig 14 ESG supply per year and YTD (US\$bn)

Corporate	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	25.1	13.2	21.1	7.1	6.6	11.7	9.4	16.6	1.5	6.6
Social	0.1	0.1	0.0	0.0	0.0	0.1	0.0	0.0	0.0	0.0
Sustainable	4.9	1.3	0.0	0.0	0.0	4.9	1.3	0.0	0.0	0.0
ESG	30.0	14.6	21.1	7.1	6.6	16.7	10.7	16.6	1.5	6.6
Financial	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	13.1	27.5	4.5	5.7	3.8	9.6	8.9	1.0	1.3	3.8
Social	3.6	6.3	5.5	4.1	1.5	3.0	0.8	0.5	1.7	1.5
Sustainable	8.7	7.9	10.9	2.2	2.1	3.2	1.6	5.7	0.4	2.1
ESG	25.4	41.7	20.9	11.9	7.4	15.8	11.2	7.2	3.4	7.4

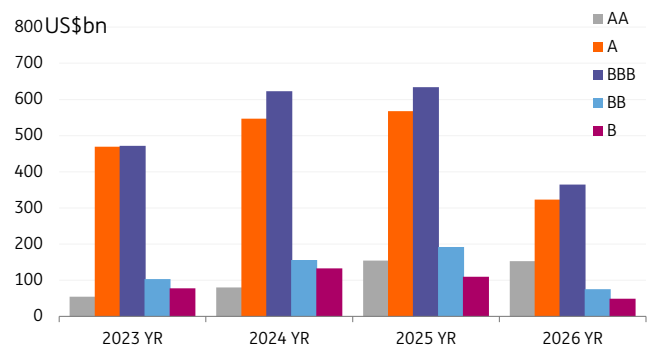
Source: ING, IGM, Dealogic

Fig 15 Corporates and banks issuance by maturity, 2026 and 2025 (US\$bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	2026
Corp 0-3yr	5.6	18.1	43.7	5.5	15.9								88.8
Corp 3-6yr	16.2	24.7	29.0	12.9	18.9								101.6
Corp 6-9yr	8.5	18.9	20.8	8.3	8.1								64.5
Corp 9-12yr	15.1	37.5	41.8	30.7	25.7								150.7
Corp 12-17yr	0.6	4.4	0.2	1.0	0.2								6.3
Corp 17yrs+	10.3	40.8	43.2	36.1	20.3								150.7
Bank 0-3yr	4.2	0.0	0.0	0.0	1.8								6.0
Bank 3-6yr	45.9	11.8	23.2	34.3	30.5								145.7
Bank 6-9yr	27.5	10.2	11.0	22.1	16.3								87.1
Bank 9-12yr	34.8	8.6	4.8	20.3	6.0								74.5
Bank 12-17yr	6.3	2.8	0.0	0.0	1.3								10.3
Bank 17yrs+	15.1	7.1	8.0	10.7	7.6								48.5
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	2025
Corp 0-3yr	6.7	17.0	27.4	6.1	8.7	8.5	1.5	9.4	12.4	7.6	12.2	0.9	118.2
Corp 3-6yr	14.0	16.9	23.0	17.2	18.2	14.2	9.8	14.2	26.5	12.3	23.5	5.1	194.7
Corp 6-9yr	5.2	10.6	14.6	3.1	10.0	5.4	3.9	10.5	14.6	12.0	11.4	3.2	104.5
Corp 9-12yr	19.6	30.0	40.4	14.9	25.7	19.2	10.8	26.3	33.2	20.1	29.3	5.2	274.8
Corp 12-17yr	0.6	2.2	1.0	1.1	0.0	2.0	0.1	1.6	3.2	1.6	1.1	0.2	14.6
Corp 17yrs+	11.0	20.9	25.5	4.7	12.2	8.2	2.3	15.3	32.3	48.7	30.6	8.1	219.7
Bank 0-3yr	0.0	0.8	0.0	1.3	7.0	0.0	0.0	0.0	0.0	0.0	0.0	0.8	9.8
Bank 3-6yr	45.0	13.4	22.2	16.1	27.2	18.3	13.3	7.3	18.9	16.5	6.8	3.4	208.4
Bank 6-9yr	27.8	10.9	3.4	14.5	20.2	6.1	9.8	0.5	13.4	16.4	5.0	1.0	128.8
Bank 9-12yr	27.3	11.1	4.8	11.8	6.8	8.4	7.3	6.9	12.8	20.5	2.0	1.4	120.8
Bank 12-17yr	0.0	0.0	1.8	0.0	0.0	0.0	0.0	0.0	1.8	0.0	0.4	0.0	3.9
Bank 17yrs+	13.4	13.3	1.8	3.7	3.2	4.0	10.3	2.4	9.7	2.3	4.7	4.1	72.6

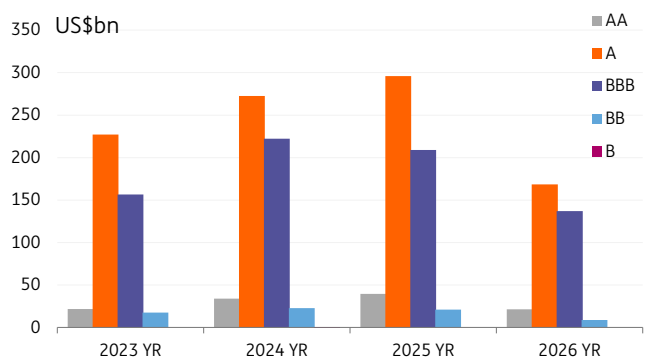
Source: ING, IGM, Dealogic

Fig 16 Corporate supply per S&P rating (US\$bn)



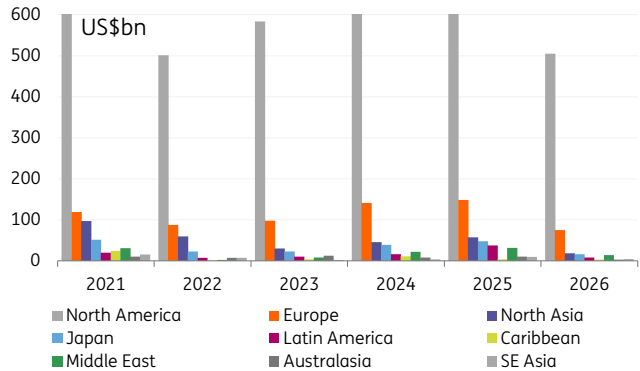
Source: ING, Dealogic

Fig 17 Financial supply per S&P rating (US\$bn)



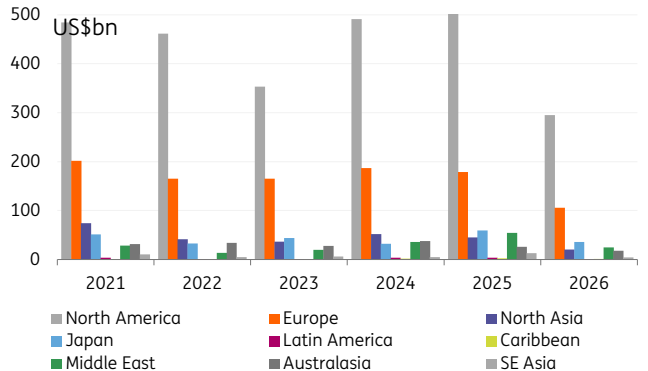
Source: ING, Dealogic

Fig 18 Corporate supply per country (US\$bn)



Source: ING, Dealogic

Fig 19 Financial supply per country (US\$bn)



Source: ING, Dealogic

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Article | 3 June 2026

FX

FX Daily: Dollar support broadens

An encouraging, if slightly flattering, US JOLTS job openings figure gave the dollar broad support yesterday, and similar positive news could be incoming today. It looks like last year's dollar debasement trade is under some pressure, and that the dollar might have further room to rally. USD/CHF could be the focus here



Strong US data is lifting the dollar and keeping Fed hike expectations alive

↑ USD: De-basement trade under pressure

The dollar continues to edge higher as US data surprises on the upside, and the market considers a Fed hike this year. Yesterday's US April JOLTS data was the latest to surprise, with job openings rising to the highest levels since May 2024. The headline number seems flattered by the rise in professional and business services, but the data supports the narrative that the US economy could be re-accelerating despite stretched consumer finances.

There may be more positive US data today in the form of the monthly ADP employment figure – a healthy +120k advance is expected – and then the May ISM services figure. The latter provides insights into order books, employment and prices, all of which could support the view that the Fed might have to hike by the end of the year. This evening also sees the release of the Fed's Beige Book ahead of the 17 June FOMC meeting. Reports of steady labour markets

and any signs of robust pricing power should send short-dated US rates and the dollar higher.

Looking at financial markets more broadly, we can see low volatility favouring carry trade strategies in the high-yielding energy-exporting currencies of Brazil and Nigeria. We can see South Asian currencies under heavy pressure – e.g. Indonesia – as trade surpluses are wiped out by the oil shock. And now in the G10 space, we can see the dollar winning a few friends on the view that the Fed may have to tighten after all. It also looks like there could be further unwinding of last year's popular dollar de-basement trade idea, where expectations of a compromised Fed had led to demand for gold, bitcoin and the Swiss franc. Gold and bitcoin certainly have not performed as well as expected through this year's inflation shock, and a more hawkish Fed over the coming months could well be played out via a higher USD/CHF.

We favour DXY to test the top of the short-term trading range at 99.50/55 – assuming ADP and ISM data perform.

Chris Turner

➔ **EUR: Hawkish ECB to protect the euro's downside**

The market now fully prices in a 25bp ECB rate hike on 11 June and another 25bp hike on 10 September. The ECB is probably happy with this pricing, which is keeping inflation expectations in check. Here, the five-year inflation swap five years forward is contained at 2.15% – not too far away from levels seen in February. This kind of ECB pricing can help insulate against incoming inflation data, with April PPI data today expected to surge to 5% YoY. Interestingly, we have been receiving anecdotal evidence that European corporates have been far quicker to pass on input price increases this year than they had in 2022.

EUR/USD came under pressure after the strong JOLTS figure yesterday. Another round of good US data could see it dip back to the recent low at 1.1575. The euro still faces some downside risks should oil prices break higher again. The Gulf crisis is far from resolved and every day the Strait of Hormuz remains shut brings us closer to the tipping point (some see that in September) where inventory drawdowns can no longer offset shut-in production. On that subject, consensus expects a 3.3m barrel decline in US oil inventories over the last week. Any bigger-than-expected drawdown could send oil prices higher and weigh on EUR/USD.

Chris Turner

↓ **CHF: Coming under some pressure?**

EUR/CHF has been drifting higher this week. That is probably a function of the global sell-off at the short end of the rates curve, where EUR/CHF is effectively driven by the ups and downs of short-dated EUR swap rates. The rationale here is that the Swiss National Bank will not be adjusting its zero interest rate policy anytime soon and thus short-dated swap differentials are only driven from the euro side.

[On Monday](#), we also said that we felt any Fed-driven dollar strength would be best played out against the low-yielding yen and Swiss franc. Last year it looked like the Swiss franc had been the big beneficiary, along with gold and bitcoin, of the dollar debasement thesis. If, however, the market starts to have greater confidence that the Fed will hike after all, those debasement trades could be further unwound. Keep watch on gold and bitcoin. Any further losses there could see pressure build for USD/CHF to break through resistance at 0.7910/25 in a move to test 0.80.

Chris Turner

➔ CEE: Hawks and doves take turns

The National Bank of Poland [left rates unchanged at 3.75%](#) yesterday, as expected. Unsurprisingly, May inflation coming in lower than expected gives the central bank more room and allows it to wait for the new July forecast. The statement following the June MPC meeting is neutral and broadly similar in tone to that of May. The reference to an increase in employment in the economy in year-on-year terms as a whole (despite a decline in the enterprise sector) suggests that the MPC has fewer concerns about the state of the labour market.

We will learn more about how the MPC assesses the current economic situation during today's press conference by NBP Governor Adam Glapinski. We do not expect hawkish elements in the conference. The rate differential indicates EUR/PLN to be in the upper half of the usual range of 4.225-265. However, the NBP has not had much influence here in recent months and the zloty is still driven mainly by global sentiment, which suggests a rather muted reaction to today's press conference.

The Czech koruna strengthened by 0.3% yesterday, which is the third-biggest jump this year. Of course, in a CEE or EM context, it would seem that nothing is happening, but in the case of EUR/CZK it is an unusual move this year. Hawkish comments by the Czech National Bank are prompting markets to rethink the timing of rate hikes, with June now firmly in play – especially alongside the approaching ECB move. CZK has had low volatility for a long time and positioning is probably very light, so any significant action by CNB could now set FX in motion. The koruna may find an unexpected supporter in the central bank and EUR/CZK may test this year's lows below 24.200.

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Article | 2 June 2026

RATES SPARK

Rates Spark: The real deal

Oil and inflation dominate near-term direction for rates. But on a longer view, real rates highlight a backdrop, where better growth hopes and record bond supply keep long-end pressure intact. Recession fears are the clear risk to that. But in the absence of recession, inflation expectations are arguably benign and real rates have little need to fall



US Treasuries still holding at just under 4.5%, and still sticky

In the past number of weeks, we've been opining on long-dated *real* rates as a factor of significance for bond markets. Primarily, [here](#). There is a link, even if seemingly tenuous, with the ongoing technical and productivity revolution being discounted in the risk asset space. It's not easy to glean this from the ups and downs in bond yields through business cycles, but it's certainly there. Below we update similar from a eurozone perspective. And we assert further that this is a factor of global influence.

But note, at the same time, that such talk is all very well while economies are doing okay. Face into a recession, and real rates *will* fall, regardless. Notwithstanding that, they should be higher than normal, and certainly well above the ultra-low real rates seen post the GFC / pandemic periods. It's a key focus to be cognisant of, rather than a simple Strait-induced hyper-focus on inflation expectations.

In fact, longer term inflation expectations are reasonably well contained (the European 10yr inflation breakeven is 2.2%, and the US version is 2.4%). In fact, these are likely too benign, and risk underestimating medium-term inflation risks. Either way, it leaves long tenor rates sticky at elevated levels.

Keep an eye on real rates as structural forces cannot be ignored

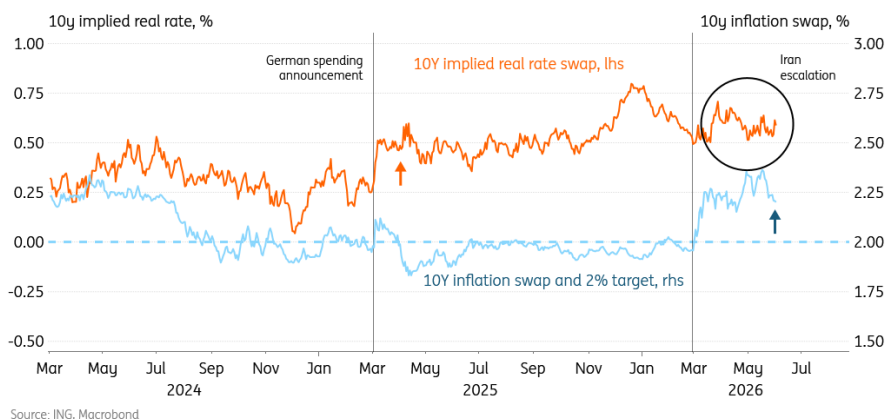
Inflation is clearly the current driving force behind euro rates, but the dynamics behind real rates should also not be forgotten when looking over a longer horizon. When we look at the 10Y euro implied real rate, we are close to the starting point from before the rise in oil prices. But when we take a longer view, we see that 10Y real rates have risen significantly since 2024. The German spending announcement was an important event, triggering an immediate jump of c.25bp.

Part of the real rate story can be explained by improving growth expectations in the eurozone, whereby a fiscal boost can help reduce the chance of returning to secular stagnation. In the US, the AI story seems to be feeding a growth narrative most recently. Whilst 10Y euro real rates traded sideways over the past few months, US real rates actually rose significantly.

But the big elephant in the room is the record bond supply hitting markets, which can also have an upward impact on longer-dated real rates. With the ECB continuing to reduce their bond portfolio, investors have increasingly more interest rate risk to absorb, increasing the term premium. And in the US, a worrisome large fiscal deficit is also adding to the global bond supply, keeping curves steeper.

Whilst oil prices dominate daily moves, in the background we could see a continuation of upward pressure on global real rates. This could change, however, if growth worries start mounting. Both the US and eurozone economies have their weaknesses and any talk about recession risks would quickly turn the direction of real rates.

Recent dynamics focused on inflation, but structural factors in real rates still important



Wednesday's events and market view

In the eurozone, we will get the final services PMIs for May and the producer prices for April. The ECB's Elderson and Cipollone are slated to speak.

After job openings data significantly beat expectations on Tuesday, the US data is likely to be more influential for markets. Up for release are the May ADP employment growth and then the services ISM. Here the market is again looking for a confirmation of US resilience with the ISM expected to tick slightly higher. Later in the day the Fed will release its Beige Book summarising the anecdotal evidence on current economic conditions in its districts. The only Fed speakers on Wednesday are Barr and Logan.

In primary markets, the UK will auction £1.6bn in 9y inflation-linked gilts.

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THINK economic and financial analysis

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